



Sampath Bank
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SAMPATH BANK PLC

**Interim Financial Statements
for the period ended 30th September 2023
(In terms of Rule 7.4 of the Colombo Stock Exchange)**

FINANCIAL COMMENTARY FOR THE NINE MONTHS ENDED 30TH SEPTEMBER 2023

Financial Performance

Sampath Bank registered profit before tax (PBT) of Rs 22.0 Bn and profit after tax (PAT) of Rs 12.3 Bn for the nine months ended 30th September 2023, recording a growth of 136.4% and 71.5% respectively against the subdued financial figures reported during the corresponding period in 2022.

Key highlights for the period ended 30th September 2023

- Bank PAT improved by 71.5% to Rs 12.3 Bn.
- 10.0% year on year growth in net fee and commission income.
- YoY exchange income declined by Rs 15.8 Bn due to the appreciation of LKR against USD by Rs 42.00.
- 70.4% decline in impairment charge on loans and investments.
- Increase in government taxes by 197.7% compared to the previous period.
- Total LKR deposits increased by Rs 112 Bn during the period to reach Rs 996 Bn as at 30th September 2023.
- Tier 1 and Total Capital ratios improved from 11.92% and 14.27% as at 31st December 2022 to 14.37% and 17.73% respectively as at 30th September 2023.

Fund based income

Sampath Bank reported gross interest income of Rs 153.4 Bn for the period under review, up 44.6% from the Rs 106.1 Bn recorded in the corresponding period of the previous year. While the Average Weighted Prime Lending Rate (AWPLR) registered as at 30th September 2023 was 1,128 bps lower than the AWPLR reported as at 30th September 2022, the average AWPLR remained considerably higher throughout the current reporting period compared to the corresponding period in the previous year.

Interest expense for the period under review grew at a faster pace than the interest income as a consequence of the numerous interest rate hikes, resulting in a marginal 0.3% reduction in Net Interest Income.

Net Interest Margin also recorded a decline of 47 basis points from 5.66% as at 31st December 2022 to 5.19% as at the reporting date which is attributed primarily to the downward trend in the AWPLR from 1Q 2023.

Non-Fund based income

Sampath Bank's Net fee and commission income (NFCI) increased by 10.0% during the period under review compared to the corresponding period in the previous year. Growth experienced in the period was mainly on account of the increase in fee and commission income derived from card, trade, electronic channels as well as remittance related activities.

Sampath Bank posted a Net Other Operating Loss of Rs 2.3 Bn in the first nine months of 2023 compared to a gain of Rs 18.0 Bn reported in corresponding period of 2022, largely due to the Rs 2.8 Bn exchange loss stemming from appreciation of the LKR against the USD by 11.5%. This was however counter balanced by the Bank recording a net trading gain of Rs 1.7 Bn for the first nine month period ending 30th September 2023, compared to a loss of Rs 3.0 Bn reported in the corresponding period of the previous year which was mainly due to revaluation gains derived from its forward exchange contracts.

Impairment charge

The Bank continued with its conservative and prudent provisioning policy and posted a total impairment charge of Rs 14.4 Bn for the period, though 70.4% less than the charge for the corresponding period in the previous year. The impairment charge for the current review period comprises Rs 12.5 Bn on account of loans and advances (corresponding period in 2022: Rs 37.7 Bn) and Rs 1.8 Bn on other financial instruments (corresponding period in 2022: Rs 10.3 Bn) as well as an additional impairment charge of Rs 0.2 Bn on commitments and contingencies (corresponding period in 2022: Rs 0.8 Bn).

Impairment charge on loans and advances

Even though the impairment charge for loans and advances for the first nine months of 2023 decreased by 66.9% compared to the same period in the previous year, the total provision cover of the Bank increased by 370 bps from 9.8% as at end September 2022 to 13.5% as at 30th September 2023.

Impairment on Individually Significant Loan (ISL) Customers

Rs 11.4 Bn was charged as an impairment provision against ISL customers during the first nine months of 2023. During the period under review the Bank re-evaluated a substantial portion of its loans and advances portfolio under the ISL category, considering both the financial resilience of customers as well as external macroeconomic pressures. Meanwhile, the proactive approach adopted by the Bank in the previous financial year to make appropriate provisioning to account for customers with potential risk has led to the build up of a sizeable provision cover against many ISL impaired customers, which resulted in lower additional provisioning being required during the reporting period. This was the main reason for the drop in the impairment charge as reported above.

Collective Impairment

Impairment models used in 2022 were continued in the first nine months of 2023 to ensure adequate buffers were in place to absorb any potential credit risk that could arise in the future. The probability weightage applied to the worst-case economic scenario remained unchanged during the reporting period. Despite the positive movements in major macro-economic variables, the Bank did not reflect these in the Economic Factor Adjustments in this quarter either, which is in keeping with the conservative stance adopted in the previous two quarters. The Bank continued to be prudent and built additional provisions against newly identified customer segments with increased credit risk during the reporting period. The allowance for overlay applied in 2022 continued to be maintained for the current reporting period as well.

The collective impairment charge for the reporting period dropped by 91.3% as the buffers built up in the previous reporting period helped to manage the risk elevated segments of the loan portfolio during the reporting period.

Impairment charge on other financial instruments

Sampath Bank recorded a net impairment charge of Rs 1.8 Bn against other financial instruments during the reporting period. The Bank opted to exchange its holdings in SLDBs to local currency denominated bonds offered by the Domestic Debt Optimisation Program (DDO). This allowed the Bank to reverse the impairment provision already recognised against the SLDBs. However, the Bank recognised a day one loss against the local currency bonds received in settlement of SLDBs under the DDO program. At the same time, the Bank increased the impairment provision against its SLISB investments on account of a possible haircut. The combined impact saw the Bank tabling a net impairment charge of Rs 1.7 Bn for the period under review against the debt instruments.

Operating Expenses

Operating expenses in the first nine months of 2023 showed 18.8% increase in comparison to the corresponding period in 2022. This was mainly due to a 25.6% increase in other expenses driven by inflation induced price increases, the substantial currency depreciation that took place in 2022 and other factors such

as increased taxes and import restrictions. Personnel costs grew by 14.1% in 2023 owing to the annual salary increase.

Tax Expenses

Total effective tax rate of the Bank increased to 57.1% in first nine months of 2023 from 43.4% reported in the corresponding period in 2022 owing to the combined effect of the increase in tax rate and newly introduced Social Security Contribution Levy (SSCL).

Key Ratios

The Return on Average Shareholders' Equity (after tax) increased to 12.49% as at 30th September 2023 from 10.95% reported at the end of the year 2022. Return on Average Assets (before tax) stood at 2.15% as at 30th September 2023 as against 1.16% reported as at 31st December 2022.

Capital Ratios

In addition to being well above the regulatory minimum requirements, Sampath Bank's capital adequacy ratios improved further in the first nine months of 2023 from the figures reported in the previous year end. As at 30th September 2023, Sampath Bank's CET 1, Tier 1 and total capital ratios were at 14.37%, 14.37% and 17.73% compared to 11.92%, 11.92% and 14.27% respectively at the end of 2022. These increases are attributed to three main reasons - the Tier 2 capital infusion of Rs 10 Bn in February 2023, profit generated in 1H 2023 along with the decline in risk weighted assets due to increased investment in government securities and LKR appreciation.

Assets and Liabilities

Total assets of the Bank increased by Rs 161 Bn (annualized growth of 16.3%) from Rs 1.32 Tn as at 31st December 2022 to Rs 1.49 Tn as at 30th September 2023 mainly due to investments in Government Securities.

Meanwhile, total loans declined by Rs 55 Bn from Rs 920 Bn as at 31st December 2022 to Rs 865 Bn at the end of the reporting period. Foreign currency loans declined by 19.6% mainly due to the LKR appreciation against the USD, while LKR denominated loans decreased by 3.0%.

Despite the LKR appreciation, Sampath Bank's total deposit book increased from Rs 1.10 Tn reported as at 31st December 2022 to Rs 1.21 Tn at the end of September 2023, an increase of Rs 110.1 Bn. LKR deposits increased by Rs 112 Bn in the first nine months of 2023 to reach Rs 996 Bn as at 30th September 2023. The CASA ratio as at the same date was 33.8% compared to 32.7% reported at the end of 2022.

Awards

Sampath Bank was awarded with the esteemed title of "Best Bank in Sri Lanka for 2023" at the prestigious Euromoney Awards ceremony held in Hong Kong. The award recognises the Bank's resilient performance and its conviction to supporting all stakeholders, while navigating through exceedingly challenging conditions in 2022. While staying true to its stated goals, this is the fifth time Sampath Bank has received this coveted award, a testament to the Bank's commitment to excellence and its positive impact on society.

STATEMENT OF PROFIT OR LOSS

	Bank						Group					
	For the nine months ended 30th September			For the quarter ended 30th September			For the nine months ended 30th September			For the quarter ended 30th September		
	2023	2022	Change	2023	2022	Change	2023	2022	Change	2023	2022	Change
	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%
Gross income	170,498,299	136,597,968	24.8	61,286,695	53,849,467	13.8	178,088,935	142,745,042	24.8	64,214,848	56,058,282	14.6
Interest income	153,354,766	106,051,372	44.6	52,569,142	46,802,684	12.3	159,988,727	111,203,342	43.9	54,970,727	48,661,346	13.0
Less: Interest expense	100,270,177	52,792,140	89.9	33,682,587	24,943,090	35.0	104,750,459	55,902,646	87.4	35,159,367	26,373,426	33.3
Net interest income	53,084,589	53,259,232	(0.3)	18,886,555	21,859,594	(13.6)	55,238,268	55,300,696	(0.1)	19,811,360	22,287,920	(11.1)
Fee & commission income	17,321,685	15,104,303	14.7	5,806,451	5,290,172	9.8	17,844,108	15,704,887	13.6	6,017,386	5,466,041	10.1
Less: Fee & commission expense	2,703,384	1,810,212	49.3	950,974	588,791	61.5	2,705,249	1,811,738	49.3	952,608	589,252	61.7
Net fee & commission income	14,618,301	13,294,091	10.0	4,855,477	4,701,381	3.3	15,138,859	13,893,149	9.0	5,064,778	4,876,789	3.9
Net gain/(loss) from trading	1,689,234	(3,016,235)	156.0	(15,175)	(474,629)	96.8	1,649,095	(3,016,235)	154.7	(20,725)	(474,629)	95.6
Net gain/(loss) on derecognition of financial assets												
- at fair value through profit or loss	280,876	448,679	(37.4)	49,482	227,490	(78.2)	288,588	448,679	(35.7)	53,910	227,490	(76.3)
- at fair value through other comprehensive income	158,697	(16,269)	1,075.5	87,448	20,436	327.9	158,697	(16,269)	1,075.5	87,448	20,436	327.9
Net other operating income	(2,306,959)	18,026,118	(112.8)	2,789,347	1,983,314	40.6	(1,840,280)	18,420,638	(110.0)	3,106,102	2,157,598	44.0
Total operating income	67,524,738	81,995,616	(17.6)	26,653,134	28,317,586	(5.9)	70,633,227	85,030,658	(16.9)	28,102,873	29,095,604	(3.4)
Less: Impairment charge	14,440,202	48,807,580	(70.4)	7,212,221	20,626,371	(65.0)	14,498,508	49,190,396	(70.5)	7,298,125	20,620,632	(64.6)
Net operating income	53,084,536	33,188,036	60.0	19,440,913	7,691,215	152.8	56,134,719	35,840,262	56.6	20,804,748	8,474,972	145.5
Less: Operating expenses												
Personnel expenses	10,877,596	9,533,242	14.1	3,892,390	2,906,608	33.9	12,018,075	10,562,773	13.8	4,287,163	3,218,670	33.2
Depreciation and amortisation expenses	1,966,767	1,798,683	9.3	729,516	598,151	22.0	1,884,661	1,752,386	7.5	632,938	584,095	8.4
Other expenses	11,484,615	9,145,757	25.6	3,432,387	3,309,953	3.7	12,338,472	9,616,909	28.3	3,752,584	3,462,147	8.4
Total operating expenses	24,328,978	20,477,682	18.8	8,054,293	6,814,712	18.2	26,241,208	21,932,068	19.6	8,672,685	7,264,912	19.4
Operating profit before taxes on financial services	28,755,558	12,710,354	126.2	11,386,620	876,503	1,199.1	29,893,511	13,908,194	114.9	12,132,063	1,210,060	902.6
Less: Taxes on financial services												
Value added tax	5,912,149	3,395,575	74.1	2,270,636	581,602	290.4	6,189,943	3,701,380	67.2	2,387,037	643,054	271.2
Social security contribution levy	821,132	-		315,366	-		859,714	-		331,532	-	
Total taxes on financial services	6,733,281	3,395,575	98.3	2,586,002	581,602	344.6	7,049,657	3,701,380	90.5	2,718,569	643,054	322.8
Profit before income tax	22,022,277	9,314,779	136.4	8,800,618	294,901	2,884.3	22,843,854	10,206,814	123.8	9,413,494	567,006	1,560.2
Less: Income tax expense	9,672,583	2,114,386	357.5	4,113,475	179,945	2,186.0	10,113,717	2,521,244	301.1	4,321,308	250,655	1,624.0
Profit for the period	12,349,694	7,200,393	71.5	4,687,143	114,956	3,977.3	12,730,137	7,685,570	65.6	5,092,186	316,351	1,509.7
Attributable to:												
Equity holders of the Bank	12,349,694	7,200,393	71.5	4,687,143	114,956	3,977.3	12,730,137	7,685,570	65.6	5,092,186	316,351	1,509.7
Non-controlling interest	-	-		-	-		-	-		-	-	
	12,349,694	7,200,393	71.5	4,687,143	114,956	3,977.3	12,730,137	7,685,570	65.6	5,092,186	316,351	1,509.7
Earnings per share - Basic/Diluted (Rs)	10.53	6.14	71.5	4.00	0.10	3,977.3	10.86	6.55	65.6	4.34	0.27	1,509.7

STATEMENT OF COMPREHENSIVE INCOME

	Bank						Group					
	For the nine months ended 30th September			For the quarter ended 30th September			For the nine months ended 30th September			For the quarter ended 30th September		
	2023	2022	Change	2023	2022	Change	2023	2022	Change	2023	2022	Change
	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%
Profit for the period	12,349,694	7,200,393	71.5	4,687,143	114,956	3,977.3	12,730,137	7,685,570	65.6	5,092,186	316,351	1,509.7
Other comprehensive income												
Items that will be reclassified to profit or loss:												
Debt instruments at fair value through other comprehensive income:												
Gain/(loss) arising on re-measurement	12,699,668	(4,249,882)	398.8	9,045,400	(80,308)	11,363.4	12,699,668	(4,249,882)	398.8	9,045,400	(80,308)	11,363.4
Reclassification to profit or loss due to derecognition	(158,697)	16,269	(1,075.5)	(87,448)	(20,436)	(327.9)	(158,697)	16,269	(1,075.5)	(87,448)	(20,436)	(327.9)
Changes in impairment for expected credit losses	260,432	425,161	(38.7)	97,752	171,558	(43.0)	260,432	425,161	(38.7)	97,752	171,558	(43.0)
Reclassification of treasury bonds at FVOCI to amortised cost	-	4,787,611	(100.0)	-	-	-	-	4,787,611	(100.0)	-	-	-
Deferred tax effect on the above	(3,840,421)	(234,999)	(1,534.2)	(2,716,712)	(16,996)	(15,884.4)	(3,840,421)	(234,999)	(1,534.2)	(2,716,712)	(16,996)	(15,884.4)
Net other comprehensive income to be reclassified to profit or loss	8,960,982	744,160	1,104.2	6,338,992	53,818	11,678.6	8,960,982	744,160	1,104.2	6,338,992	53,818	11,678.6
Items that will not be reclassified to profit or loss:												
Equity instruments at fair value through other comprehensive income:												
Gain/(loss) arising on re-measurement	-	(3,131,109)	100.0	-	(926,653)	100.0	-	(3,131,109)	100.0	-	(926,653)	100.0
Exchange difference in translation	(766,193)	3,433,631	(122.3)	116,771	78,878	48.0	(766,193)	3,433,631	(122.3)	116,771	78,878	48.0
Deferred tax effect on the above	229,858	(72,605)	416.6	(35,031)	203,466	(117.2)	229,858	(72,605)	416.6	(35,031)	203,466	(117.2)
	(536,335)	229,917	(333.3)	81,740	(644,309)	112.7	(536,335)	229,917	(333.3)	81,740	(644,309)	112.7
Net other comprehensive income not to be reclassified to profit or loss	(536,335)	229,917	(333.3)	81,740	(644,309)	112.7	(536,335)	229,917	(333.3)	81,740	(644,309)	112.7
Other comprehensive income net of tax	8,424,647	974,077	764.9	6,420,732	(590,491)	1,187.4	8,424,647	974,077	764.9	6,420,732	(590,491)	1,187.4
Total comprehensive income for the period net of tax	20,774,341	8,174,470	154.1	11,107,875	(475,535)	2,435.9	21,154,784	8,659,647	144.3	11,512,918	(274,140)	4,299.6
Attributable to:												
Equity holders of the Bank	20,774,341	8,174,470	154.1	11,107,875	(475,535)	2,435.9	21,154,784	8,659,647	144.3	11,512,918	(274,140)	4,299.6
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
	20,774,341	8,174,470	154.1	11,107,875	(475,535)	2,435.9	21,154,784	8,659,647	144.3	11,512,918	(274,140)	4,299.6

STATEMENT OF FINANCIAL POSITION

As at	Bank			Group		
	30th September 2023	31st December 2022	Change	30th September 2023	31st December 2022	Change
	Rs 000	(Audited) Rs 000	%	Rs 000	(Audited) Rs 000	%
ASSETS						
Cash & cash equivalents	109,164,299	79,162,545	37.9	109,441,760	79,344,587	37.9
Balances with Central Bank of Sri Lanka	15,538,673	31,579,185	(50.8)	15,538,673	31,579,185	(50.8)
Placements with banks	47,636,386	10,927,216	335.9	47,636,386	10,927,216	335.9
Reverse repurchase agreements	1,000,416	10,072,569	(90.1)	1,233,416	10,299,569	(88.0)
Derivative financial instruments	461,825	44,598	935.5	461,825	44,598	935.5
Financial assets recognised through profit or loss - measured at fair value	8,500,130	4,641,277	83.1	8,609,915	4,822,395	78.5
Financial assets at amortised cost						
- loans & advances	748,725,496	811,157,649	(7.7)	778,664,217	839,976,738	(7.3)
- debt & other instruments	320,179,540	278,775,796	14.9	327,548,395	284,237,662	15.2
Financial assets - fair value through other comprehensive income	165,987,218	32,772,930	406.5	165,987,274	32,772,986	406.5
Investment in subsidiaries	4,110,642	3,898,512	5.4	-	-	-
Property, plant & equipment	9,387,448	8,910,525	5.4	19,701,148	19,067,412	3.3
Intangible assets	662,779	578,031	14.7	686,221	600,341	14.3
Right-of-use assets	3,677,617	3,540,286	3.9	3,028,202	3,265,770	(7.3)
Deferred tax assets	17,443,985	21,734,244	(19.7)	17,882,720	21,992,147	(18.7)
Other assets	33,394,184	26,630,974	25.4	35,396,295	28,388,956	24.7
Total Assets	1,485,870,638	1,324,426,337	12.2	1,531,816,447	1,367,319,562	12.0
LIABILITIES						
Due to banks	13,479,288	11,297,181	19.3	18,835,655	15,255,184	23.5
Derivative financial instruments	466,430	1,449,393	(67.8)	466,430	1,449,393	(67.8)
Securities sold under repurchase agreements	33,591,695	2,283,291	1,371.2	33,591,695	2,283,291	1,371.2
Financial liabilities at amortised cost						
- due to depositors	1,201,714,939	1,096,099,874	9.6	1,225,169,655	1,115,155,879	9.9
- due to other borrowers	7,123,238	9,173,923	(22.4)	7,123,238	9,173,923	(22.4)
- due to debt securities holders	25,622,749	25,259,536	1.4	29,526,973	32,872,261	(10.2)
Retirement benefit obligation	2,443,755	1,845,228	32.4	2,609,847	1,998,238	30.6
Dividend payable	216,591	187,141	15.7	216,591	187,141	15.7
Current tax liabilities	14,194,322	18,754,155	(24.3)	14,757,088	19,186,239	(23.1)
Deferred tax liabilities	-	-	-	1,465,662	1,465,662	-
Other liabilities	43,995,286	31,696,670	38.8	45,479,703	32,741,284	38.9
Total Liabilities	1,342,848,293	1,198,046,392	12.1	1,379,242,537	1,231,768,495	12.0

STATEMENT OF FINANCIAL POSITION

As at	30th September 2023	Bank 31st December 2022 (Audited)	Change	30th September 2023	Group 31st December 2022 (Audited)	Change
	Rs 000	Rs 000	%	Rs 000	Rs 000	%
EQUITY						
Stated capital	48,741,119	47,622,493	2.3	48,741,119	47,622,493	2.3
Reserves						
Statutory reserve fund	5,755,000	5,755,000	-	6,033,000	6,033,000	-
Other reserves	73,271,181	64,832,981	13.0	76,769,119	68,330,919	12.3
Retained earnings	15,255,045	8,169,471	86.7	21,030,672	13,564,655	55.0
Total equity attributable to equity holders of the Bank	143,022,345	126,379,945	13.2	152,573,910	135,551,067	12.6
Non-controlling interest				-	-	-
Total Equity	143,022,345	126,379,945	13.2	152,573,910	135,551,067	12.6
Total Liabilities & Equity	1,485,870,638	1,324,426,337	12.2	1,531,816,447	1,367,319,562	12.0
Commitments & contingencies	406,367,573	315,363,167	28.9	404,345,146	314,491,810	28.6
Net asset value per share (Rs)	121.96	107.77	13.2	130.10	115.59	12.6

Memorandum information

Number of employees	4,071	3,948
Number of branches	229	229

CERTIFICATION:

I certify that the above Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd)

Ajantha de Vas Gunasekara
Executive Director/Chief Financial Officer

We, the undersigned, being the Chairman and the Managing Director of Sampath Bank PLC, certify jointly that:

- (a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka; and
- (b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank and its subsidiary companies unless indicated as audited.

(Sgd)

Harsha Amarasekera
Chairman
13th November 2023

(Sgd)

Ayodhya Iddawela Perera
Managing Director

STATEMENT OF CHANGES IN EQUITY

Bank

For the nine months ended 30th September 2022	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2022	47,622,493	5,075,000	3,159,910	1,618,637	52,468,905	8,806,714	118,751,659
Adjustment for Surcharge Tax levied under the Surcharge Tax Act No. 14 of 2022	-	-	-	-	-	(2,670,566)	(2,670,566)
Adjusted balance as at 1st January 2022	47,622,493	5,075,000	3,159,910	1,618,637	52,468,905	6,136,148	116,081,093
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	7,200,393	7,200,393
Other comprehensive income	-	-	-	974,077	-	-	974,077
Total comprehensive income for the period	-	-	-	974,077	-	7,200,393	8,174,470
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2021: cash	-	-	-	-	-	(4,863,589)	(4,863,589)
Unclaimed dividend adjustments	-	-	-	-	21,078	-	21,078
Total contributions by and distributions to equity holders	-	-	-	-	21,078	(4,863,589)	(4,842,511)
Balance as at 30th September 2022	47,622,493	5,075,000	3,159,910	2,592,714	52,489,983	8,472,952	119,413,052

For the nine months ended 30th September 2023	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	5,755,000	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	12,349,694	12,349,694
Other comprehensive income	-	-	-	8,424,647	-	-	8,424,647
Total comprehensive income for the period	-	-	-	8,424,647	-	12,349,694	20,774,341
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2022: scrip	1,118,626	-	-	-	-	(1,316,031)	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	(3,948,089)	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	13,553	-	13,553
Total contributions by and distributions to equity holders	1,118,626	-	-	-	13,553	(5,264,120)	(4,131,941)
Balance as at 30th September 2023	48,741,119	5,755,000	3,594,984	10,673,297	59,002,900	15,255,045	143,022,345

STATEMENT OF CHANGES IN EQUITY

Group

For the nine months ended 30th September 2022	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2022	47,622,493	5,315,000	6,293,636	1,618,637	52,468,905	13,866,847	127,185,518	-	127,185,518
Adjustment for Surcharge Tax levied under the Surcharge Tax Act No. 14 of 2022	-	-	-	-	-	(3,232,508)	(3,232,508)	-	(3,232,508)
Adjusted balance as at 1st January 2022	47,622,493	5,315,000	6,293,636	1,618,637	52,468,905	10,634,339	123,953,010	-	123,953,010
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	7,685,570	7,685,570	-	7,685,570
Other comprehensive income	-	-	-	974,077	-	-	974,077	-	974,077
Total comprehensive income for the period	-	-	-	974,077	-	7,685,570	8,659,647	-	8,659,647
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2021: cash	-	-	-	-	-	(4,863,589)	(4,863,589)	-	(4,863,589)
Unclaimed dividend adjustments	-	-	-	-	21,078	-	21,078	-	21,078
Total contributions by and distributions to equity holders	-	-	-	-	21,078	(4,863,589)	(4,842,511)	-	(4,842,511)
Balance as at 30th September 2022	47,622,493	5,315,000	6,293,636	2,592,714	52,489,983	13,456,320	127,770,146	-	127,770,146

For the nine months ended 30th September 2023	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	6,033,000	7,092,922	2,248,650	58,989,347	13,564,655	135,551,067	-	135,551,067
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	12,730,137	12,730,137	-	12,730,137
Other comprehensive income	-	-	-	8,424,647	-	-	8,424,647	-	8,424,647
Total comprehensive income for the period	-	-	-	8,424,647	-	12,730,137	21,154,784	-	21,154,784
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2022: scrip	1,118,626	-	-	-	-	(1,316,031)	(197,405)	-	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	(3,948,089)	(3,948,089)	-	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	13,553	-	13,553	-	13,553
Total contributions by and distributions to equity holders	1,118,626	-	-	-	13,553	(5,264,120)	(4,131,941)	-	(4,131,941)
Balance as at 30th September 2023	48,741,119	6,033,000	7,092,922	10,673,297	59,002,900	21,030,672	152,573,910	-	152,573,910

STATEMENT OF CASH FLOWS

For the nine months ended 30th September	Bank		Group	
	2023 Rs 000	2022 Rs 000	2023 Rs 000	2022 Rs 000
Cash flows from operating activities				
Interest receipts	144,994,532	93,089,647	152,264,035	98,498,495
Interest payments	(96,249,387)	(51,479,021)	(100,417,769)	(54,326,580)
Net commission receipts	14,652,056	13,295,818	15,172,614	13,894,876
Cash payments to employees	(9,829,877)	(9,057,127)	(10,940,774)	(10,056,779)
Taxes on financial services	(7,011,999)	(2,860,752)	(7,309,007)	(3,251,244)
Receipts from other operating activities	827,709	756,612	1,505,503	1,545,875
Cash payments to other operating activities	(11,290,990)	(9,137,769)	(12,308,757)	(10,036,595)
Operating profit before changes in operating assets & liabilities	36,092,044	34,607,408	37,965,845	36,268,048
(Increase)/decrease in operating assets				
Balances with Central Bank of Sri Lanka	16,040,512	(235,661)	16,040,512	(235,661)
Financial assets at amortised cost - loans & advances	41,723,456	(48,934,120)	39,912,073	(47,293,371)
Other assets	(7,060,416)	(8,090,415)	(7,206,656)	(8,396,804)
	50,703,552	(57,260,196)	48,745,929	(55,925,836)
Increase/(decrease) in operating liabilities				
Due to banks	2,710,407	(14,115,004)	4,140,743	(16,097,612)
Re-purchase agreements	31,447,967	29,921,424	31,447,967	28,570,498
Financial liabilities at amortised cost - due to depositors	123,664,863	(22,588,676)	127,492,738	(21,487,516)
Financial liabilities at amortised cost - due to other borrowers	(2,126,489)	(4,724,864)	(2,126,489)	(4,724,864)
Other liabilities	12,367,902	6,047,599	13,102,002	5,977,734
	168,064,650	(5,459,521)	174,056,961	(7,761,760)
Net cash generated from/(used in) operating activities before income tax	254,860,246	(28,112,309)	260,768,735	(27,419,548)
Income tax paid	(13,552,721)	(8,800,369)	(14,042,133)	(10,299,328)
Net cash generated from/(used in) operating activities	241,307,525	(36,912,678)	246,726,602	(37,718,876)
Cash flows from investing activities				
Purchase of property, plant & equipment	(1,118,882)	(407,627)	(1,573,855)	(1,492,757)
Proceeds from disposal of property, plant & equipment	-	1,905	1,920	3,747
Net cash flow from reverse repurchase agreements	9,000,243	2,750,000	8,994,243	4,674,911
Net cash flow from financial assets - FVPL	(3,288,932)	(2,317,258)	(3,251,510)	(2,317,258)
Net cash flow from debt instruments at amortised cost	(62,986,460)	55,643,588	(64,893,449)	52,832,213
Net cash flow from financial assets - FVOCI	(105,620,382)	10,314,523	(105,620,382)	10,314,523
Purchase of intangible assets	(278,051)	(217,312)	(286,445)	(229,342)
Dividend received from financial assets	122,525	158,238	124,009	158,238
Net cash (used in)/generated from investing activities	(164,169,939)	65,926,057	(166,505,469)	63,944,275
Cash flows from financing activities				
Proceeds from the issue of debentures	10,000,000	-	10,000,000	-
Redemption of debentures	(7,500,000)	-	(9,500,000)	-
Net proceeds from securitisation	-	-	(1,459,285)	2,134,705
Repayment of long term bond	(600,000)	-	(600,000)	-
Dividend paid	(4,145,494)	(4,863,589)	(4,145,494)	(4,863,589)
Repayment of principal portion of lease liabilities	(1,169,100)	(873,250)	(675,692)	(490,297)
Net cash used in financing activities	(3,414,594)	(5,736,839)	(6,380,471)	(3,219,181)
Net cash generated during the period	73,722,992	23,276,540	73,840,662	23,006,218
Net foreign exchange difference	(6,929,374)	4,206,667	(6,929,374)	4,206,667
Cash & cash equivalents at the beginning of the year	90,071,931	25,155,288	89,862,724	25,299,191
Cash & cash equivalents at the end of the period	156,865,549	52,638,495	156,774,012	52,512,076

NOTES TO THE FINANCIAL STATEMENTS

1 Analysis of Loans and Advances and Impairment

	Bank		Group	
	30th September 2023	31st December 2022 (Audited)	30th September 2023	31st December 2022 (Audited)
	Rs 000	Rs 000	Rs 000	Rs 000
As at				
1.1 Gross loans & advances	865,139,757	920,121,651	898,770,683	953,090,229
Less: Accumulated impairment under stage 1	10,245,125	9,917,653	10,321,053	9,934,498
Accumulated impairment under stage 2	32,245,275	44,751,656	33,025,126	45,651,154
Accumulated impairment under stage 3	73,923,861	54,294,693	76,760,287	57,527,839
Net loans & advances	748,725,496	811,157,649	778,664,217	839,976,738
1.2 Product-wise loans and advances				
Local currency				
Bills of exchange	172,056	199,719	172,056	199,719
Leasing	21,643,038	28,705,433	50,497,361	56,212,902
Housing loans	50,739,321	54,481,331	50,739,321	54,481,331
Export loans	6,868,332	3,107,861	6,868,332	3,107,861
Import loans	68,883,250	87,188,988	68,883,250	87,188,988
Refinance loans	5,976,025	8,869,594	5,976,025	8,869,594
Term loans	364,615,542	369,913,048	361,675,806	366,794,405
Overdraft	81,556,498	87,331,782	81,134,917	86,335,675
Staff loans	10,411,033	10,888,428	10,518,983	11,026,852
Pawning and gold loans	79,277,431	67,897,237	86,701,844	76,603,695
Credit cards	19,995,527	20,790,055	19,995,510	20,790,032
Money market loans	18,454,910	11,363,511	18,454,910	11,363,511
Factoring	1,773,674	1,837,544	1,940,624	2,209,110
Others	7,806	5,720	446,430	365,154
Sub total	730,374,443	752,580,251	764,005,369	785,548,829
Foreign currency				
Bills of exchange	2,083,992	2,288,964	2,083,992	2,288,964
Housing loans	370,333	728,261	370,333	728,261
Export loans	30,526,089	37,670,492	30,526,089	37,670,492
Import loans	11,683,758	10,660,352	11,683,758	10,660,352
Term loans	81,478,460	105,074,508	81,478,460	105,074,508
Overdraft	8,618,961	11,051,658	8,618,961	11,051,658
Others	3,721	67,165	3,721	67,165
Sub total	134,765,314	167,541,400	134,765,314	167,541,400
Total gross loans and advances	865,139,757	920,121,651	898,770,683	953,090,229

1.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	9,917,653	44,751,656	54,294,693	108,964,002
Net charge/(reversal) for the period	475,108	(11,369,153)	23,354,275	12,460,230
Write-off during the period	-	-	(264,842)	(264,842)
Interest income accrued on impaired loans & advances	-	-	(3,988,092)	(3,988,092)
Other movements including exchange differences	(147,636)	(1,137,228)	527,827	(757,037)
Balance as at 30th September 2023	10,245,125	32,245,275	73,923,861	116,414,261

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	9,934,498	45,651,154	57,527,839	113,113,491
Net charge/(reversal) for the period	534,191	(11,488,800)	23,477,127	12,522,518
Write-off during the period	-	-	(783,243)	(783,243)
Interest income accrued on impaired loans & advances	-	-	(3,989,263)	(3,989,263)
Other movements including exchange differences	(147,636)	(1,137,228)	527,827	(757,037)
Balance as at 30th September 2023	10,321,053	33,025,126	76,760,287	120,106,466

NOTES TO THE FINANCIAL STATEMENTS

2 Analysis of Commitments and Contingencies and Impairment

		Bank		Group	
As at		30th September 2023	31st December 2022 (Audited)	30th September 2023	31st December 2022 (Audited)
		Rs 000	Rs 000	Rs 000	Rs 000
2.1	Gross commitments and contingencies	409,559,834	318,482,231	407,515,418	317,605,110
	Less: Accumulated impairment under stage 1	2,245,333	2,128,073	2,223,344	2,122,309
	Accumulated impairment under stage 2	946,928	975,413	946,928	975,413
	Accumulated impairment under stage 3	-	15,578	-	15,578
	Net commitments and contingencies	406,367,573	315,363,167	404,345,146	314,491,810
2.2	Product-wise commitments and contingencies				
	Local currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	127,628,822	103,715,092	125,477,706	102,562,272
	Undrawn - indirect credit facilities	64,242,521	66,213,062	64,218,801	66,213,062
	Acceptances	23,499	89,863	23,499	89,863
	Documentary credit	1,063,113	1,174,783	1,063,113	1,174,783
	Guarantees	34,368,478	39,984,632	34,373,178	39,990,333
		227,326,433	211,177,432	225,156,297	210,030,313
	Other commitments & contingencies				
	Capital commitments	569,179	843,434	694,899	1,113,432
	Operating lease commitments	72,489	64,405	72,489	64,405
	Forward exchange contracts	4,751,686	1,349,606	4,751,686	1,349,606
	Currency SWAPs	57,558,465	4,631,690	57,558,465	4,631,690
		62,951,819	6,889,135	63,077,539	7,159,133
	Sub total	290,278,252	218,066,567	288,233,836	217,189,446
	Foreign currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	40,635,403	46,406,625	40,635,403	46,406,625
	Undrawn - indirect credit facilities	7,050,870	8,878,121	7,050,870	8,878,121
	Acceptances	9,916,743	12,421,381	9,916,743	12,421,381
	Documentary credit	23,128,194	19,816,721	23,128,194	19,816,721
	Guarantees	3,344,209	3,839,585	3,344,209	3,839,585
		84,075,419	91,362,433	84,075,419	91,362,433
	Other commitments & contingencies				
	Capital commitments	201,188	117,551	201,188	117,551
	Forward exchange contracts	22,371,356	2,666,132	22,371,356	2,666,132
	Currency SWAPs	12,633,619	6,269,548	12,633,619	6,269,548
		35,206,163	9,053,231	35,206,163	9,053,231
	Sub total	119,281,582	100,415,664	119,281,582	100,415,664
	Total gross commitments and contingencies	409,559,834	318,482,231	407,515,418	317,605,110

2.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	2,128,073	975,413	15,578	3,119,064
Net charge/(reversal) for the period	172,877	38,336	(15,578)	195,635
Write-off during the period	-	-	-	-
Other movements including exchange differences	(55,617)	(66,821)	-	(122,438)
Balance as at 30th September 2023	2,245,333	946,928	-	3,192,261

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	2,122,309	975,413	15,578	3,113,300
Net charge/(reversal) for the period	156,652	38,336	(15,578)	179,410
Write-off during the period	-	-	-	-
Other movements including exchange differences	(55,617)	(66,821)	-	(122,438)
Balance as at 30th September 2023	2,223,344	946,928	-	3,170,272

NOTES TO THE FINANCIAL STATEMENTS

3 Analysis of Deposits

	Bank		Group	
As at	30th September 2023 Rs 000	31st December 2022 (Audited) Rs 000	30th September 2023 Rs 000	31st December 2022 (Audited) Rs 000
Local Currency Deposits				
Demand deposits	59,226,506	53,597,498	59,186,685	53,572,363
Saving deposits	262,909,929	241,685,530	262,928,209	241,614,954
Call deposits	4,006	6,022	4,006	6,022
Fixed deposits	665,133,716	579,849,920	688,609,973	599,001,636
Certificates of deposits	5,679,830	5,888,555	5,679,830	5,888,555
Margin deposits	1,075,383	1,854,990	1,075,383	1,854,990
Total local currency deposits	994,029,370	882,882,515	1,017,484,086	901,938,520
Foreign Currency Deposits				
Demand deposits	7,831,762	12,245,502	7,831,762	12,245,502
Saving deposits	79,967,966	52,657,036	79,967,966	52,657,036
Fixed deposits	119,725,921	148,164,690	119,725,921	148,164,690
Margin deposits	159,920	150,131	159,920	150,131
Total foreign currency deposits	207,685,569	213,217,359	207,685,569	213,217,359
Total deposits	1,201,714,939	1,096,099,874	1,225,169,655	1,115,155,879

EXPLANATORY NOTES

1. There are no changes to the accounting policies and methods of computation since the publication of the annual accounts for the year 2022.
2. The Group Financial Statements comprise a consolidation of the Bank and its fully owned subsidiaries, Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.
3. There are no material changes during the period in the composition of assets, liabilities and contingent liabilities. All known expenditure items have been provided for.
4. These interim Financial Statements are presented in accordance with Sri Lanka Accounting Standard - LKAS 34 (Interim Financial Reporting) and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.

5. Market Price of a Share	2023 (Rs)	2022 (Rs)
Market Price as at 30th September	70.00	41.50
Highest Market Price during the quarter ended 30th September	79.20	44.50
Lowest Market Price during the quarter ended 30th September	59.90	26.00
Weighted Average Market Price during the quarter ended 30th September	71.28	33.39

6. Impairment of financial assets

Loans and advances

The Bank performed a detailed assessment of individually significant customers as at 30th September 2023. Key assumptions used in the impairment computation of individually significant customers were revised, after evaluating customers' present financial standing. Accordingly adequate provisions have been recognized in the Financial Statements.

Sampath Bank continued to maintain the same assumptions that were used as at 31st December 2022 when calculating the collective impairment provisions as at 30th September 2023. Additional overlays have also been incorporated after a careful review of specific industry risk factors while continuing the management overlays already recognised as at the last year end.

Other financial assets

The Bank accepted LKR bonds in settlement of SLDBs under the Domestic Debt Optimization (DDO) programme. The Bank recognised a day one loss against the local currency bonds received in settlement of SLDBs under the DDO programme. At the same time impairment provisions against its SLISB investments have been reassessed and adequate provisions have been made based on available information. The combined impact of these measures resulted in a net increase in impairment provision for the period ended 30th September 2023.

7. Events after the reporting period

There are no material events that took place after the reporting date which require adjustment to or disclosure in the Financial Statements.

8. Utilisation of funds raised via capital markets

The funds raised via capital markets in the current/previous years were fully utilised for the objectives stated in the relevant prospectuses.

9. Reclassification of Debt Portfolio in 2022

In 2022, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued a "Statement of Alternative Treatment (SoAT) on Reclassification of Debt portfolio" which provided a one-off option to the entities to reclassify their debt portfolios measured at Fair Value through Other Comprehensive Income (FVOCI) to Amortised Cost (AC). This SoAT was issued considering the unprecedented macro-economic conditions prevailed during the year 2022. Applying this SoAT, the Bank reclassified its FVOCI treasury bond portfolio with effect from 1st April 2022 to AC.

Amortised cost of the treasury bonds reclassified from FVOCI and outstanding as at 30th September 2023 amounted to Rs 21.0 Bn. Had these treasury bonds continued at FVOCI, the fair value and the cumulative mark to market loss as at 30th September 2023 would have been Rs 20.6 Bn and Rs 0.4 Bn respectively.

SAMPATH BANK PLC (ORDINARY SHARES)
TOP 20 SHAREHOLDERS AS AT 30TH SEPTEMBER 2023

Name of the Shareholder		No. of shares	% holding
1	Vallibel One PLC	175,352,762	14.95
2	Phantom Investments (Pvt) Limited	117,270,076	10.00
3	Ayenka Holdings Private Limited	116,948,834	9.97
4	Employees' Provident Fund	116,948,697	9.97
5	Mr Y S H I Silva*	96,121,110	8.20
6	Rosewood (Pvt) Limited - Account No.1	52,678,348	4.49
7	Senthilverl Holdings (Pvt) Ltd	29,880,020	2.55
8	Akbar Brothers Pvt Ltd A/C No. 1	28,134,771	2.40
9	Employees' Trust Fund Board	21,779,871	1.86
10	Sampath Bank PLC Account No. 4 (Sampath Bank Pension Fund)	11,832,461	1.01
11	Citi Bank Newyork S/A Norges Bank Account 2	11,476,049	0.98
12	Mrs P D A S Beruwalage	11,105,469	0.95
13	BBH - Tundra Sustainable Frontier Fund	9,837,629	0.84
14	SSBT-AL Mehwar Commercial Investments L.L.C.	6,877,041	0.59
15	Magna Wealth (Pvt) Ltd	6,361,683	0.54
16	Dr T Senthilverl	6,293,975	0.54
17	SSBT-Global Macro Capital Opportunities Portfolio	6,019,065	0.51
18	Phoenix Ventures Private Limited	5,776,512	0.49
19	Hatton National Bank PLC - Capital Alliance Quantitative Equity Fund	5,680,372	0.48
20	Mr B A Mahipala	4,756,704	0.41
		841,131,449	71.73
Shares held by Directors		288,698	0.02
Balance held by other shareholders		331,280,613	28.25
Total		1,172,700,760	100.00

*Mr Rushanka Silva, the Managing Director of Indra Traders (Pvt) Ltd, was appointed as a Non Executive, Non Independent Director of the Bank with effect from 01st September 2017. Accordingly the shareholding of Mr Y S H I Silva, who is the main shareholder of Indra Traders (Pvt) Ltd, has been excluded from the public shareholding of the Bank.

As at	30th September 2023
Number of public shareholders	28,939
Percentage of public holding	90.77%
Float adjusted market capitalization	Rs 75 Bn

The Bank complies with the minimum public holding requirement under option 1 of listing rules section 7.13.1 (a).

Directors' Holding in Shares of Sampath Bank PLC

Director's Name	No. of shares held	
	As at 30th September 2023	As at 31st December 2022
1 Mr Harsha Amarasekera	-	-
2 Mr Rushanka Silva	-	-
3 Mr D K de Silva Wijeyeratne	-	-
4 Ms A Nanayakkara	-	-
5 Dr J T V S Weerawarana	-	-
6 Mr Vajira Kulatilaka	-	-
7 Ms R K Jayawardena	-	-
8 Mr Vinod Hirdaramani	288,087	281,129
9 Mr Hiran Cabraal	-	-
10 Ms Ayodhya Iddawela Perera (Managing Director) (appointed w.e.f. 01st July 2023)	611	Not applicable
11 Mr D A de Vas Gunasekara (Chief Financial Officer)	-	-

Segment Information - Group

For the nine months ended 30th September	Corporate Banking		Retail & Personal Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	26,679,515	32,948,977	45,467,806	32,189,205	15,624,041	11,822,369	-	-	(32,533,094)	(21,659,855)	55,238,268	55,300,696
Net fee & commission income	4,153,203	4,449,291	10,714,301	9,092,076	271,355	351,782	-	-	-	-	15,138,859	13,893,149
Net gain/(loss) from trading	-	-	-	-	1,649,095	(3,016,235)	-	-	-	-	1,649,095	(3,016,235)
Net gain on derecognition of financial assets	-	-	-	-	447,285	432,410	-	-	-	-	447,285	432,410
Net other operating income	122,525	168,534	1,203,385	1,249,535	2,451,510	(2,444,402)	197,444	100,663	(5,815,144)	19,346,308	(1,840,280)	18,420,638
Total revenue from external customers	30,955,243	37,566,802	57,385,492	42,530,816	20,443,286	7,145,924	197,444	100,663	(38,348,238)	(2,313,547)	70,633,227	85,030,658
Inter segment (expense)/income	(801,996)	(1,013,283)	858,716	1,060,780	-	-	613,378	497,323	(670,098)	(544,820)	-	-
Total operating income	30,153,247	36,553,519	58,244,208	43,591,596	20,443,286	7,145,924	810,822	597,986	(39,018,336)	(2,858,367)	70,633,227	85,030,658
Less: Impairment charge	5,869,610	22,891,331	6,978,110	15,774,404	1,664,399	10,418,135	(6,360)	9,600	(7,251)	96,926	14,498,508	49,190,396
Net operating income	24,283,637	13,662,188	51,266,098	27,817,192	18,778,887	(3,272,211)	817,182	588,386	(39,011,085)	(2,955,293)	56,134,719	35,840,262
Less: Total operating expenses	427,957	388,022	14,379,439	12,313,137	397,097	319,059	388,609	313,044	10,648,106	8,598,806	26,241,208	21,932,068
Segment result	23,855,680	13,274,166	36,886,659	15,504,055	18,381,790	(3,591,270)	428,573	275,342	(49,659,191)	(11,554,099)	29,893,511	13,908,194
Less: Taxes on financial services											7,049,657	3,701,380
Less: Income tax expense											10,113,717	2,521,244
Profit for the period											12,730,137	7,685,570
Non controlling interest											-	-
Profit attributable to equity holders of the Bank											12,730,137	7,685,570
As at 30th September	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	362,189,438	452,191,897	478,795,499	502,915,213	552,983,140	328,627,673	9,067,251	7,731,826	(11,988,034)	(11,040,046)	1,391,047,294	1,280,426,563
Unallocated assets	-	-	-	-	-	-	-	-	140,769,153	74,670,614	140,769,153	74,670,614
Total assets	362,189,438	452,191,897	478,795,499	502,915,213	552,983,140	328,627,673	9,067,251	7,731,826	128,781,119	63,630,568	1,531,816,447	1,355,097,177
Segment liabilities	34,099,374	44,873,288	1,212,379,935	1,055,194,937	41,943,000	45,439,438	3,235,111	2,612,675	(7,909,883)	(8,513,032)	1,283,747,537	1,139,607,306
Unallocated liabilities	-	-	-	-	-	-	-	-	95,495,000	87,719,725	95,495,000	87,719,725
Total liabilities	34,099,374	44,873,288	1,212,379,935	1,055,194,937	41,943,000	45,439,438	3,235,111	2,612,675	87,585,117	79,206,693	1,379,242,537	1,227,327,031
For the nine months ended 30th September	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	56,334,201	(35,430,700)	189,991,005	(289,179)	(215,032)	(572,872)	605,160	167,680	11,268	(1,593,805)	246,726,602	(37,718,876)
Cash flows from investing activities	-	-	-	-	(162,791,586)	67,335,525	(545,560)	(398,384)	(3,168,323)	(2,992,866)	(166,505,469)	63,944,275
Cash flows from financing activities	-	-	(2,212,779)	1,661,595	-	-	90,240	(38,380)	(4,257,932)	(4,842,396)	(6,380,471)	(3,219,181)
Capital expenditure	-	-	(60,340)	(646,880)	-	-	(371,722)	(263,756)	(1,428,238)	(811,463)	(1,860,300)	(1,722,099)

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Bank - As at 30th September 2023

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	109,164,299	-	109,164,299
Balances with Central Bank of Sri Lanka	-	15,538,673	-	15,538,673
Placements with banks	-	47,636,386	-	47,636,386
Reverse repurchase agreements	-	1,000,416	-	1,000,416
Derivative financial instruments	461,825	-	-	461,825
Financial assets recognised through profit or loss - measured at fair value	8,500,130	-	-	8,500,130
Financial assets at amortised cost				
- loans & advances	-	748,725,496	-	748,725,496
- debt & other instruments	-	320,179,540	-	320,179,540
Financial assets - fair value through other comprehensive income	-	-	165,987,218	165,987,218
Other assets	-	27,635,759	-	27,635,759
Total Financial Assets	8,961,955	1,269,880,569	165,987,218	1,444,829,742

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	13,479,288	13,479,288
Derivative financial instruments	466,430	-	466,430
Securities sold under repurchase agreements	-	33,591,695	33,591,695
Financial liabilities at amortised cost			
- due to depositors	-	1,201,714,939	1,201,714,939
- due to other borrowers	-	7,123,238	7,123,238
- due to debt securities holders	-	25,622,749	25,622,749
Dividend payable	-	216,591	216,591
Other liabilities	-	36,508,459	36,508,459
Total Financial Liabilities	466,430	1,318,256,959	1,318,723,389

Bank - As at 31st December 2022 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,162,545	-	79,162,545
Balances with Central Bank of Sri Lanka	-	31,579,185	-	31,579,185
Placements with banks	-	10,927,216	-	10,927,216
Reverse repurchase agreements	-	10,072,569	-	10,072,569
Derivative financial instruments	44,598	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,641,277	-	-	4,641,277
Financial assets at amortised cost				
- loans & advances	-	811,157,649	-	811,157,649
- debt & other instruments	-	278,775,796	-	278,775,796
Financial assets - fair value through other comprehensive income	-	-	32,772,930	32,772,930
Other assets	-	21,174,017	-	21,174,017
Total Financial Assets	4,685,875	1,242,848,977	32,772,930	1,280,307,782

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	11,297,181	11,297,181
Derivative financial instruments	1,449,393	-	1,449,393
Securities sold under repurchase agreements	-	2,283,291	2,283,291
Financial liabilities at amortised cost			
- due to depositors	-	1,096,099,874	1,096,099,874
- due to other borrowers	-	9,173,923	9,173,923
- due to debt securities holders	-	25,259,536	25,259,536
Dividend payable	-	187,141	187,141
Other liabilities	-	24,725,468	24,725,468
Total Financial Liabilities	1,449,393	1,169,026,414	1,170,475,807

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Group - As at 30th September 2023

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	109,441,760	-	109,441,760
Balances with Central Bank of Sri Lanka	-	15,538,673	-	15,538,673
Placements with banks	-	47,636,386	-	47,636,386
Reverse repurchase agreements	-	1,233,416	-	1,233,416
Derivative financial instruments	461,825	-	-	461,825
Financial assets recognised through profit or loss - measured at fair value	8,609,915	-	-	8,609,915
Financial assets at amortised cost				
- loans & advances	-	778,664,217	-	778,664,217
- debt & other instruments	-	327,548,395	-	327,548,395
Financial assets - fair value through other comprehensive income	-	-	165,987,274	165,987,274
Other assets	-	29,125,047	-	29,125,047
Total Financial Assets	9,071,740	1,309,187,894	165,987,274	1,484,246,908

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	18,835,655	18,835,655
Derivative financial instruments	466,430	-	466,430
Securities sold under repurchase agreements	-	33,591,695	33,591,695
Financial liabilities at amortised cost			
- due to depositors	-	1,225,169,655	1,225,169,655
- due to other borrowers	-	7,123,238	7,123,238
- due to debt securities holders	-	29,526,973	29,526,973
Dividend payable	-	216,591	216,591
Other liabilities	-	37,293,524	37,293,524
Total Financial Liabilities	466,430	1,351,757,331	1,352,223,761

Group - As at 31st December 2022 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,344,587	-	79,344,587
Balances with Central Bank of Sri Lanka	-	31,579,185	-	31,579,185
Placements with banks	-	10,927,216	-	10,927,216
Reverse repurchase agreements	-	10,299,569	-	10,299,569
Derivative financial instruments	44,598	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,822,395	-	-	4,822,395
Financial assets at amortised cost				
- loans & advances	-	839,976,738	-	839,976,738
- debt & other instruments	-	284,237,662	-	284,237,662
Financial assets - fair value through other comprehensive income	-	-	32,772,986	32,772,986
Other assets	-	22,481,685	-	22,481,685
Total Financial Assets	4,866,993	1,278,846,642	32,772,986	1,316,486,621

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	15,255,184	15,255,184
Derivative financial instruments	1,449,393	-	1,449,393
Securities sold under repurchase agreements	-	2,283,291	2,283,291
Financial liabilities at amortised cost			
- due to depositors	-	1,115,155,879	1,115,155,879
- due to other borrowers	-	9,173,923	9,173,923
- due to debt securities holders	-	32,872,261	32,872,261
Dividend payable	-	187,141	187,141
Other liabilities	-	25,350,978	25,350,978
Total Financial Liabilities	1,449,393	1,200,278,657	1,201,728,050

FAIR VALUE OF FINANCIAL INSTRUMENTS

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

(a) Level 1 – Quoted market price (unadjusted)

When available, the Bank measures the fair value of financial instruments using quoted market prices in an active market. Accordingly, quoted equity securities have been valued using quoted market prices as at the reporting date, while the fair values of treasury bills and bonds have been derived using the yield curves published by the Central Bank of Sri Lanka. However, treasury bonds acquired in settlement of SLDBs under the Domestic Debt Optimisation Program (DDO) have been classified under level 2 since there is no active market for them.

(b) Level 2 – Valuation technique using observable inputs

If a market for a financial instrument is not active, then the Bank measures fair value of such instruments using quoted prices for similar assets and liabilities in active markets or quoted prices for identical/similar assets and liabilities in inactive markets or using models where all significant inputs are observable. The Bank has used the spot and forward premiums available as at the reporting date to estimate the fair value of derivative financial instruments. Fair values of financial assets and financial liabilities carried at amortised cost have been estimated by comparing the interest rates when they were first recognised with the current market rates of similar instruments.

(c) Level 3 – Valuation technique with significant unobservable inputs

Assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

There are no material changes in the fair value of financial assets categorised under Level 3 compared to the values reported as at 31st December 2022. The Bank has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the period ended 30th September 2023.

Financial Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Bank

Date of Valuation	As at 30th September 2023				As at 31st December 2022 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices	Significant	Significant		Quoted Prices	Significant	Significant	
	in Active	Observable	Unobservable		in Active	Observable	Unobservable	
	Markets	Inputs	Inputs		Markets	Inputs	Inputs	
	(Level 1)	(Level 2)	(Level 3)		(Level 1)	(Level 2)	(Level 3)	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial assets measured at fair value								
Derivative financial instruments	-	461,825	-	461,825	-	44,598	-	44,598
Financial assets - fair value through profit or loss	8,500,130	-	-	8,500,130	4,641,277	-	-	4,641,277
Financial assets - fair value through other comprehensive income	164,984,122	942,529	60,567	165,987,218	32,040,333	671,756	60,841	32,772,930
Total financial assets measured at fair value	173,484,252	1,404,354	60,567	174,949,173	36,681,610	716,354	60,841	37,458,805
Financial liabilities measured at fair value								
Derivative financial instruments	-	466,430	-	466,430	-	1,449,393	-	1,449,393
Total financial liabilities measured at fair value	-	466,430	-	466,430	-	1,449,393	-	1,449,393

Group

Date of Valuation	As at 30th September 2023				As at 31st December 2022 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices	Significant	Significant		Quoted Prices	Significant	Significant	
	in Active	Observable	Unobservable		in Active	Observable	Unobservable	
	Markets	Inputs	Inputs		Markets	Inputs	Inputs	
	(Level 1)	(Level 2)	(Level 3)		(Level 1)	(Level 2)	(Level 3)	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial assets measured at fair value								
Derivative financial instruments	-	461,825	-	461,825	-	44,598	-	44,598
Financial assets - fair value through profit or loss	8,609,915	-	-	8,609,915	4,822,395	-	-	4,822,395
Financial assets - fair value through other comprehensive income	164,984,122	942,529	60,623	165,987,274	32,040,333	671,756	60,897	32,772,986
Total financial assets measured at fair value	173,594,037	1,404,354	60,623	175,059,014	36,862,728	716,354	60,897	37,639,979
Financial liabilities measured at fair value								
Derivative financial instruments	-	466,430	-	466,430	-	1,449,393	-	1,449,393
Total financial liabilities measured at fair value	-	466,430	-	466,430	-	1,449,393	-	1,449,393

FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd....)

Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

Bank

Date of Valuation	As at 30th September 2023					As at 31st December 2022 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	744,780,775	-	744,780,775	748,725,496	-	791,005,705	-	791,005,705	811,157,649
debt & other instruments	266,328,828	45,907,222	-	312,236,050	320,179,540	164,475,802	58,100,341	-	222,576,143	278,775,796
	266,328,828	790,687,997	-	1,057,016,825	1,068,905,036	164,475,802	849,106,046	-	1,013,581,848	1,089,933,445
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	13,479,288	-	13,479,288	13,479,288	-	11,297,181	-	11,297,181	11,297,181
due to depositors - fixed & certificate of deposits	-	799,124,723	-	799,124,723	790,539,467	-	735,091,094	-	735,091,094	733,903,165
due to debt securities holders	-	28,860,433	-	28,860,433	25,622,749	-	20,292,758	-	20,292,758	25,259,536
	-	841,464,444	-	841,464,444	829,641,504	-	766,681,033	-	766,681,033	770,459,882

Group

Date of Valuation	As at 30th September 2023					As at 31st December 2022 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	777,724,415	-	777,724,415	778,664,217	-	819,121,483	-	819,121,483	839,976,738
debt & other instruments	273,697,683	45,907,222	-	319,604,905	327,548,395	169,937,668	58,100,341	-	228,038,009	284,237,662
	273,697,683	823,631,637	-	1,097,329,320	1,106,212,612	169,937,668	877,221,824	-	1,047,159,492	1,124,214,400
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	18,815,099	-	18,815,099	18,835,655	-	15,174,226	-	15,174,226	15,255,184
due to depositors - fixed & certificate of deposits	-	824,293,614	-	824,293,614	814,015,724	-	754,033,695	-	754,033,695	753,054,881
due to debt securities holders	-	32,566,317	-	32,566,317	29,526,973	-	27,121,650	-	27,121,650	32,872,261
	-	875,675,030	-	875,675,030	862,378,352	-	796,329,571	-	796,329,571	801,182,326

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

DEBENTURE INFORMATION

(a) Market Values

Debentures - 2019/2024	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 13.90%	N/T	N/T	N/T	N/T	N/T	N/T

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 9.00%	N/T	N/T	N/T	N/T	N/T	N/T

Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 28.00%	142.00	N/A	141.00	N/A	142.00	N/A
Floating rate	N/T	N/A	N/T	N/A	N/T	N/A

N/T - Not Traded

N/A - Not Applicable

(b) Interest Rates

Debentures - 2019/2024	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 13.90%	13.90%	13.90%	13.90%	13.90%

Debentures - 2021/2028	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 9.00%	9.00%	9.00%	9.00%	9.00%

Debentures - 2023/2028	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 28.00%	28.00%	28.00%	N/A	N/A
Floating rate	Note 01			

N/A - Not Applicable

Note 01

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% & a cap of 31.0% p.a. payable annually.

DEBENTURE INFORMATION (Cont ..)

(c) Interest Rate of Comparable Government Securities

	2023	2022
3 Month Treasury Bill	17.42%	31.94%
6 Month Treasury Bill	15.13%	30.59%
5 Year Treasury Bond	13.72%	25.22%
7 Year Treasury Bond	13.07%	25.82%

(d) Current Yield & Yield to Maturity

Debentures - 2019/2024	Fixed 13.90%	
	2023	2022
Current yield	N/T	N/T
Yield to maturity of last trade	N/T	N/T

Debentures - 2021/2028	Fixed 9.00%	
	2023	2022
Current yield	N/T	N/T
Yield to maturity of last trade	N/T	N/T

Debentures - 2023/2028	Fixed 28.00%		Floating	
	2023	2022	2023	2022
Current yield	19.72%	N/A	N/T	N/A
Yield to maturity of last trade	14.29%	N/A	N/T	N/A

N/T - Not Traded

N/A - Not Applicable

Note 02

Debentures - 2018/2023

The Bank has redeemed the debenture issued in 2018 amounting to Rs 7.5 Bn on 20th March 2023.

(e) Ratios - Bank

	30.09.2023	31.12.2022
Debt to Equity Ratio (%)	20.0%	18.8%
Interest Cover (Times)	9.6	6.8
Quick Asset Ratio (%) (as per CBSL Return)	82.9%	75.1%

SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

Item	As at 30th September 2023	As at 31st December 2022	As at 30th September 2023	As at 31st December 2022
	Bank		Group	
Regulatory Capital (Rs 000)				
Common Equity Tier 1 Capital	105,217,640	95,533,144	113,865,487	102,822,613
Tier 1 Capital	105,217,640	95,533,144	113,865,487	102,822,613
Total Capital	129,799,912	114,351,589	138,871,194	122,096,525
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	14.37	11.92	14.74	12.18
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	14.37	11.92	14.74	12.18
Total Capital Ratio (Minimum Requirement - 12.5%)	17.73	14.27	17.97	14.46
Leverage Ratio % (Minimum Requirement - 3%)	6.29	7.00	6.61	7.29

	As at 30th September 2023	As at 31st December 2022
	Bank	
Assets Quality (Quality of Loan Portfolio)		
Impaired Loans (Stage 3) Ratio %	5.93	4.35
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	54.68	53.84
Profitability		
Interest Margin, %	5.19	5.66
Return on Assets (Before Tax), %	2.15	1.16
Return on Equity (After Tax), %	12.49	10.95
Regulatory Liquidity		
Statutory Liquid Assets (Rs 000)	568,657,032	326,607,580
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)	45.39	27.85
Total Stock of High-Quality Liquid Assets (Rs 000)	469,951,245	226,064,957
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement: 2023 - 100%, 2022 - 90%)	383.66	200.78
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement: 2023 - 100%, 2022 - 90%)	299.36	146.53
Net Stable Funding Ratio (%) (Minimum Requirement: 2023 - 100%, 2022 - 90%)	172.91	157.10